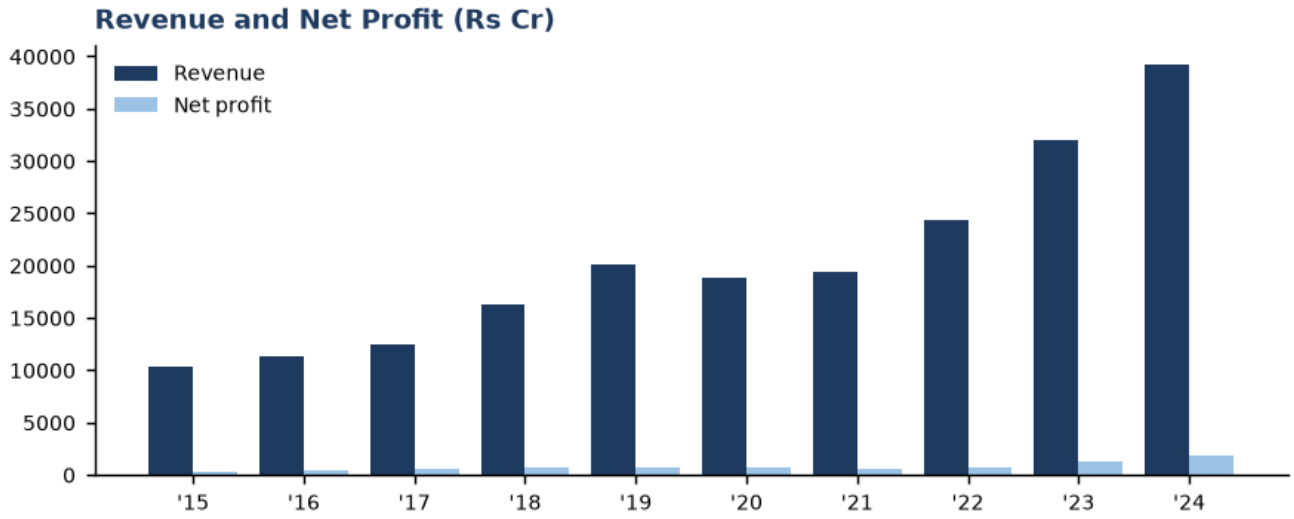
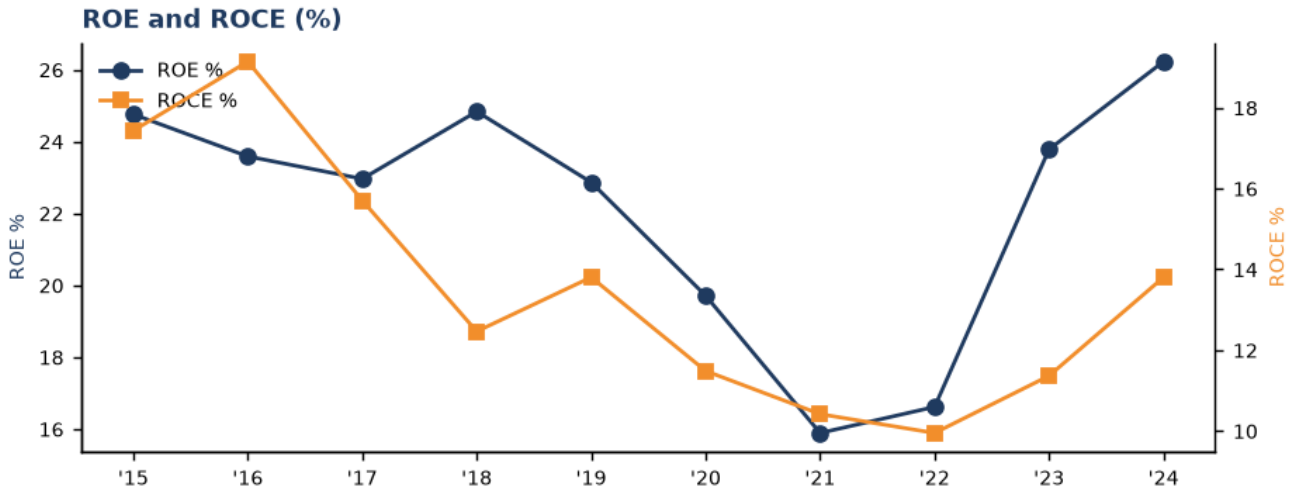
TVS Motor Company Ltd

TVSMOTOR | Consumer Discretionary | Two Wheelers | Latest financial year: 2024-03

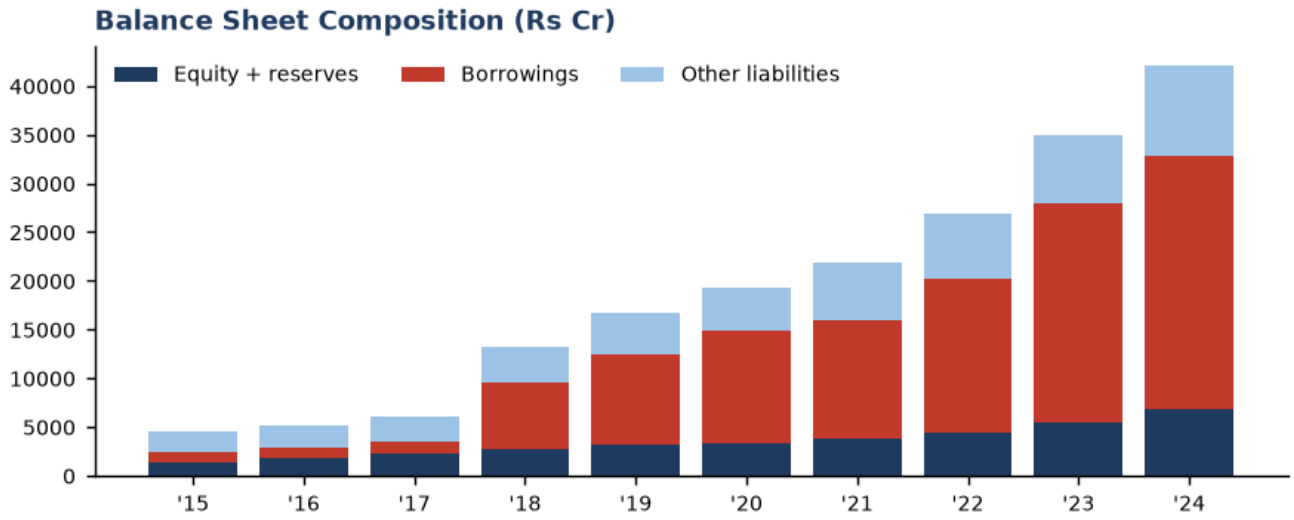
ROE	ROCE	Net profit margin
26.2%	**13.8%**	**4.5%**
Debt / equity	**Revenue CAGR 5yr**	**Free cash flow (Rs Cr)**
3.83	**14.2%**	**-2,254**

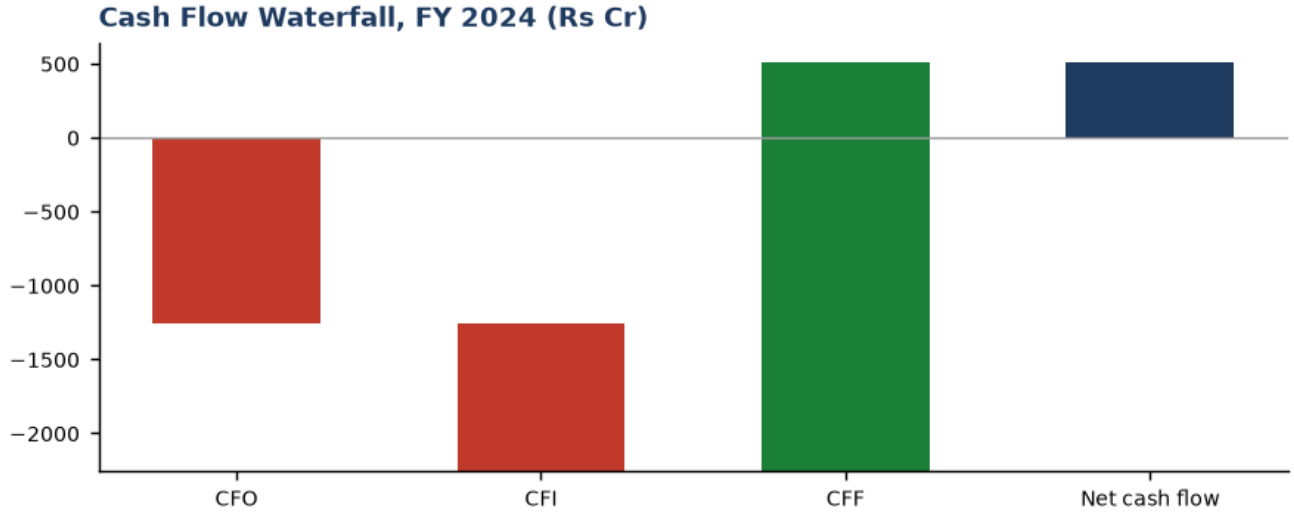




TVS Motor Company Ltd

TVSMOTOR | Balance sheet, cash flow and qualitative view





Key strengths and concerns (auto-generated, with confidence)

Pros

- Return on equity improving for 3 consecutive years shows strengthening business quality (100%)
- Revenue growing slower than profits shows improving operating leverage and scale benefits (82%)
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (71%)

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality (100%)
- Debt-to-equity ratio of 3.8x is elevated for a non-financial company and warrants monitoring (84%)
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (80%)

Capital allocation: Mixed

Pros and cons are generated from KPI threshold rules and are not investment advice. Ratios use annual filings; market data is SIMULATED.